

Removing the Ministerial Veto

The Industrial Development (Amendment) Bill 2026 and Ireland's Defence, Security and Resilience Enterprise Landscape

Security Ireland

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KEY FINDINGS

The Industrial Development (Amendment) and Miscellaneous Provisions Bill 2026 removes the requirement for ministerial sign-off before the IDA, Enterprise Ireland, and other development agencies can support firms engaged in defence, security, and resilience (DSR) technologies.

This is the legislative delivery of a reform that IBEC, the IIEA, and Security Ireland have identified as essential. But the Bill removes a gate without building the road behind it:

there is no published definition of what constitutes DSR activity, no Enterprise Ireland risk assessment framework, and no criteria for determining when agency support is appropriate. Ireland is not getting a defence industry, it is only getting the legal permission for enterprise agencies to engage with the DSR sector.

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312,400

IDA-supported jobs (2025)

~550

Irish dual-use firms

€2.4bn

Dual-use export market

€2.5bn

Defence spend, next decade

BEFORE THE BILL

- ✗ Ministerial sign-off required
- ✗ Agencies cannot support DSR firms
- ✗ IDA cannot co-invest in DSR property
- ✗ No joint ventures for DSR infrastructure
- ✗ Legal ambiguity deters engagement

AFTER THE BILL

- ✓ No ministerial sign-off needed
- ✓ Agencies can support DSR firms
- ✓ IDA can co-invest with ISIF
- ✓ Joint ventures enabled
- ✓ Legal ambiguity removed

STILL MISSING: DSR definition · Risk framework · Engagement criteria · Security clearances · Export controls

Figure 1: What the Bill changes and what it does not. The legislative reform removes the ministerial gate but does not build the institutional infrastructure behind it.

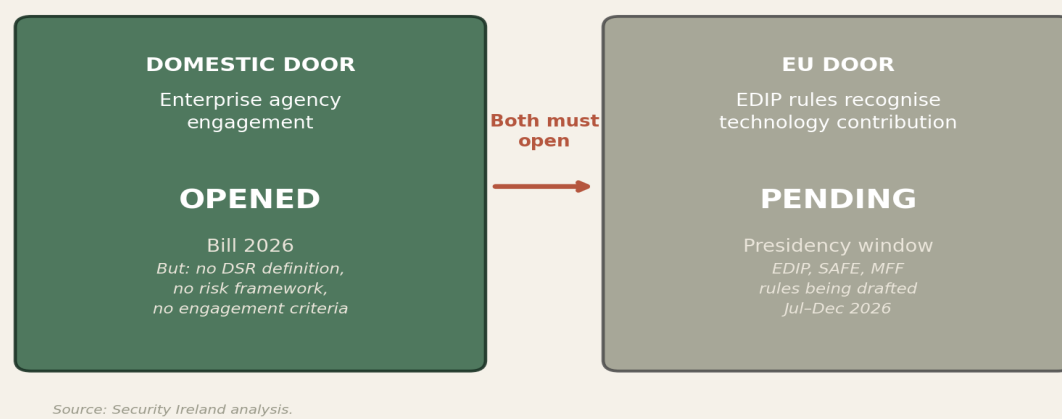
The two-door problem

Figure 2: The two-door problem. The Bill opens the domestic door (green). The EU door (grey) depends on Presidency actions during July–December 2026.

Background

On 28 April 2026, the Department of Enterprise, Tourism and Employment announced the Industrial Development (Amendment) and Miscellaneous Provisions Bill 2026. The legislation removes a provision in the Industrial Development Act that requires government approval before the IDA, Enterprise Ireland, or other state development agencies can support enterprises engaged in activities of a military or defence-related nature.

The provision being repealed was originally designed for the now-dissolved Eolas agency—a research body that predates the current enterprise architecture. The government has acknowledged that the restriction is outdated, broad in

scope, open to varying interpretations, and creates practical difficulties for agency teams.

It is important to note that the amendment does not create a new policy. It simply removes an institutional obstacle that has prevented Irish enterprise agencies from treating DSR-aligned firms like any other part of the economy. Existing regulatory controls—export licensing, dual-use regulations, EU sanctions compliance—remain fully in force.

What the Bill Does

Removes the ministerial approval requirement. Enterprise agencies will no longer need government sign-off to support DSR-aligned firms.

Expands the IDA's property powers. The IDA can co-invest in property and infrastructure with third parties, including the Ireland Strategic Investment Fund.

Enables joint ventures. The IDA, alone or jointly with Enterprise Ireland, can establish jointly-owned companies with third parties for developing industrial property and infrastructure.

Does This Mean Ireland Has a Defence Industry?

No, the Bill does not create a defence industry. It creates the legal permission for enterprise agencies to engage with firms operating in the DSR space. The distinction matters.

Ireland has approximately 550 firms active in dual-use technology and a dual-use export market valued at €2.4 billion. Ubotica Technologies uses AI-enabled satellites to track dark vessels. Cathx Ocean's underwater imaging

surveys critical seabed infrastructure. Provizio builds sensor systems. VRAI develops VR simulation for defence training. Reamda manufactures bomb disposal robots for the Defence Forces.

What Ireland is not doing—and will not do—is manufacturing fighter jets, tanks, ammunition, or strategic weapons platforms. Minister Burke described the focus as 'defence, security and resilience—not military activity.'

The Department defines DSR as encompassing cyber defence, space domain awareness, maritime security, and hybrid threat monitoring. These align with the four industrial domains *Security Ireland* has identified.

The practical difference is operational. An IDA team meeting a cybersecurity firm considering a defence contract no longer needs ministerial approval. An Enterprise Ireland client exploring maritime surveillance for PESCO projects no longer sits in a legal grey zone.

Ireland is not getting a defence industry. It is getting the legal permission for enterprise agencies to engage with the DSR sector. The institutional architecture to make that engagement meaningful remains unbuilt.

THE TWO-DOOR PROBLEM

Removing Ireland's domestic barriers and ensuring EU rules recognise technology contribution are two sides of the same door—and both must open. The Bill opens the domestic side. But if EDIP defines 'participation' as defence manufacturing, Ireland is excluded regardless of domestic reform. If it includes technology contribution—cyber, AI, maritime sensing, dual-use—Ireland's sector can participate. The EU Presidency (July–December 2026) is the window to open both doors simultaneously.

What the Bill Does Not Do

The Bill removes a gate. It does not build the road behind it. Several institutional gaps remain.

No definition of DSR

The Department lists examples but the Bill establishes no statutory definition. Without one, the same interpretive ambiguity re-emerges. The old question was ‘does this need ministerial approval?’ The new question: ‘is this DSR?’

No Enterprise Ireland risk assessment framework

There is no published framework for evaluating reputational risk, export control exposure, or end-use concerns. Enterprise Ireland has no institutional experience assessing whether a maritime AI application crosses from civilian surveillance into military targeting, or whether a cybersecurity tool is defensive or offensive.

No criteria for agency support decisions

The old system had a blunt instrument: ministerial sign-off. The new system has no instrument. EU dual-use export controls do not guide whether Enterprise Ireland should back a firm developing drone detection versus drone strike capability.

No classified information handling

Firms in EU defence programmes must handle classified data. Ireland has no industrial classified information infrastructure. The IDA’s new co-investment powers could

build this, but only if the government identifies it as a priority.

What Remains to Be Built

The Bill addresses one of five prerequisites. The remaining four require separate action.

1. Security clearance system

Interim clearances underway, but must become permanent. Without them, firms cannot receive classified programme data. The EDF 2026 calls are open now. Timeline: Q2 2027.

2. Export control framework

No Munitions List implementation, no end-user certificate system, no re-export controls. Full Wassenaar Arrangement alignment is needed for EU defence supply chain participation.

3. Industrial participation policy

Ireland will spend €2.5bn on defence procurement over the next decade. Without a policy requiring international primes to provide workshare, that money flows abroad with no return.

4. DSR engagement framework

Enterprise Ireland and the IDA need: a working DSR definition, risk assessment criteria, staff training, and protocols for distinguishing defensive tech from weapons systems. The Bill gives permission. The framework gives competence.

The old question was ‘does this need ministerial approval?’ The new question will be ‘is this DSR?’ The Bill shifts the ambiguity. It does not resolve it.

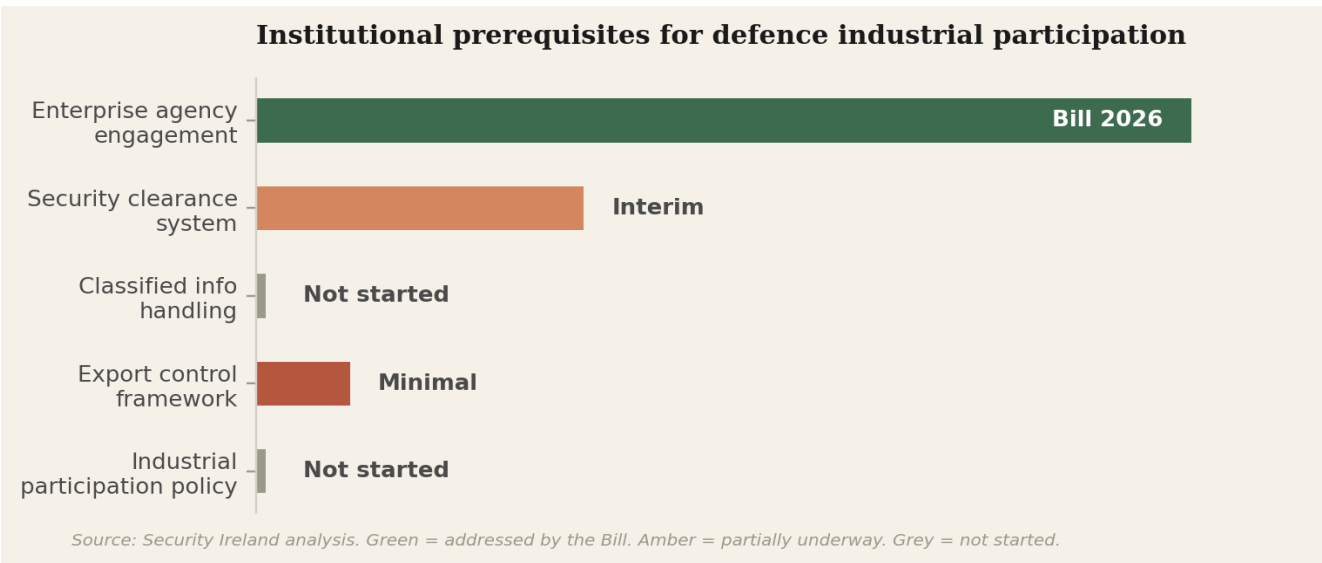


Figure 3: Progress on the five institutional prerequisites. Only enterprise agency engagement (addressed by the Bill) is complete. Security clearances are partially underway. Three prerequisites have not been started.

THE BOTTOM LINE

The Bill removes an anachronistic restriction and enables agency engagement with DSR-aligned firms. This is necessary and overdue. But it is not sufficient. Ireland does not get a defence industry by removing a ministerial veto. It gets a defence technology contribution—bounded, domain-specific, integrated into EU frameworks—by building the institutional architecture behind the gate: security clearances, classified-handling infrastructure, export controls, an industrial participation policy, and a DSR engagement framework that gives agency teams the expertise and criteria to do what the law now permits.

Ireland's DSR Domains

The Bill enables enterprise agencies to support Irish firms across four domains where Ireland's existing economic base can contribute to European defence production.

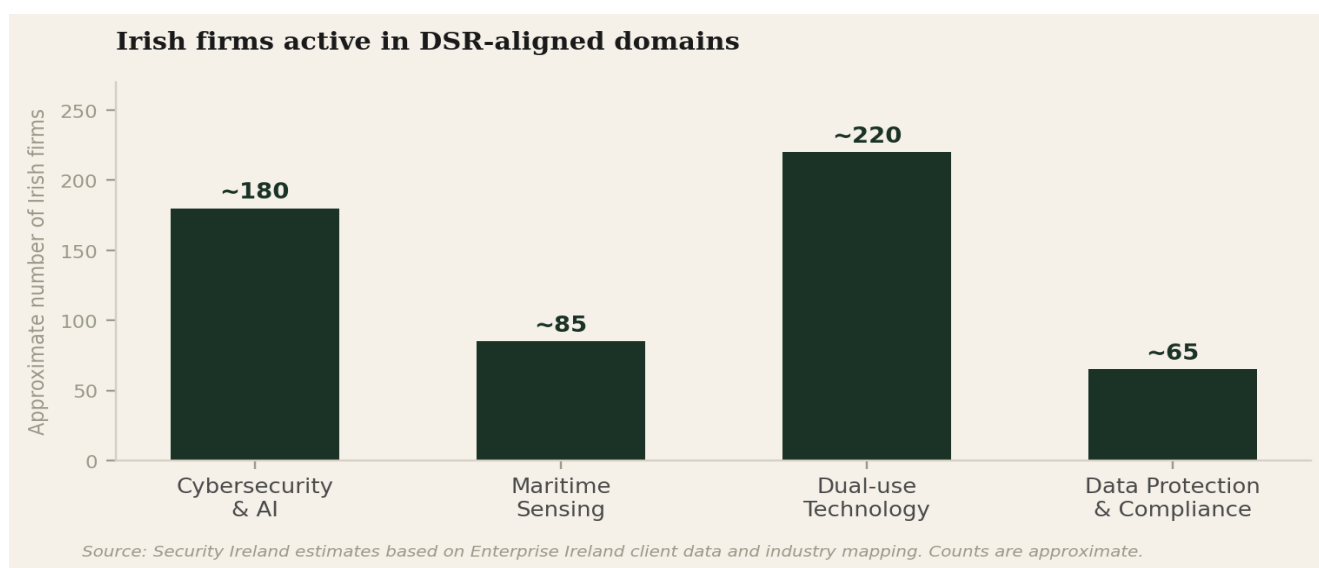


Figure 4: Irish firms active in DSR-aligned domains. Counts are approximate, based on Enterprise Ireland client data and industry mapping.

Cybersecurity and AI: threat detection, anomaly identification, automated response. The NCSC provides the institutional anchor.

Maritime sensing and surveillance: maritime AI, subsea monitoring sensors, satellite imagery processing. Ireland is the Atlantic terminus of European subsea infrastructure.

Dual-use technology: sensors, communications, and precision engineering from Ireland's pharmaceutical and medtech manufacturing base.

Data protection and compliance: Ireland's GDPR hub status gives it institutional expertise in data governance as EU defence programmes become increasingly data-intensive.

WHY THIS MATTERS NOW

Ireland assumes the EU Council Presidency in July 2026. EDIP, the SAFE loan facility, and the next MFF defence chapter are all being shaped during Ireland's term. The Bill opens the domestic door. The Presidency is the window to ensure the EU door opens too—so that what Irish firms build is recognised, funded, and integrated into the European defence industrial base. After December 2026, the architecture is set and the political attention moves elsewhere.

A NOTE ON METHOD

This brief analyses the Industrial Development (Amendment) and Miscellaneous Provisions Bill 2026 as announced on 28 April 2026. It draws on Security Ireland's Defence Industrial Architecture, Defence Industrial Policy, and Presidency Desk series. It does not assess the Bill's drafting detail or parliamentary prospects. Sources include the Department's public statement, Minister Burke's remarks, IBEC and IIEA publications, and EU programme documentation.

S E R I E S C O N T E X T

This brief connects to Security Ireland’s *Defence Industrial Architecture* (diagnostic), *Defence Industrial Policy* (prescriptive), and the *Presidency Desk* series—particularly Brief 1 (ReArm Europe) and Brief 4 (Hybrid Threats and Cyber Defence). It implements the enterprise-agency reform identified in the proposed National Security Strategy framework.

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